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Others

Software - Not-So-Musical Chairs: The Talent Impact of Declining Equity Values

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With Software equities (IGV) down 21% from Nov '21 highs including several high-growth, high-quality names down as much as 30-60%, we contemplate the impact for those that make significant use of equity incentives for employees. With many employees 'under water' on their option grants or with restricted stock now worth significantly less, we believe employee retention is a real concern in what we view is the tightest labor backdrop in tech over the decades we have studied the industry. This all happens to coincide with the time of year when employees are seasonally apt to switch jobs, thus compounding the risk further. Our field work in speaking to industry constituents (individual contributors, hiring managers, recruiters, venture investors, etc.) leads us to believe this is a real concern for both public and private companies and elevates operational risk. While there is some optimism in all this, with some companies being able to attract new talent, our high level conclusions are that: **1)** headcount churn elevates operational risk; **2)** the most at-risk companies (i.e., greatest share declines AND use of SBC), are very likely more expensive than they appear, and **3)** the circumstances further elevate the importance of HCM software where we highlight **WDAY, ORCL, PAYC** and **CDAY** as potential beneficiaries within our coverage.

To screen for companies that might be most impacted we've plotted share price performance from the Nov '21 IGV peak to current levels vs. SBC as a % of GAAP OpEx for DB's Software coverage universe as well as Software stocks >$20bn in market cap. Our methodology is based on the view that those with the largest share price drops and greatest use of equity compensation likely face the most risk to employee retention, and in turn, may be more expensive than they appear due to the need to issue more shares and/or cash bonuses to attract and retain talent in a highly competitive labor market. Companies that screen in the 'Hot Zone' (i.e., most impacted) include **AI, CDAY, CFLT, DOCU, MTTR, OKTA, PLTR, SNOW, TWLO, XM, ZM,** and **ZS**. Importantly, we'd note this screen is only a starting point and company-specific factors should be taken into account (i.e., XM's creation of Equity pool during the SAP spin process inflates near-term SBC on income statement).

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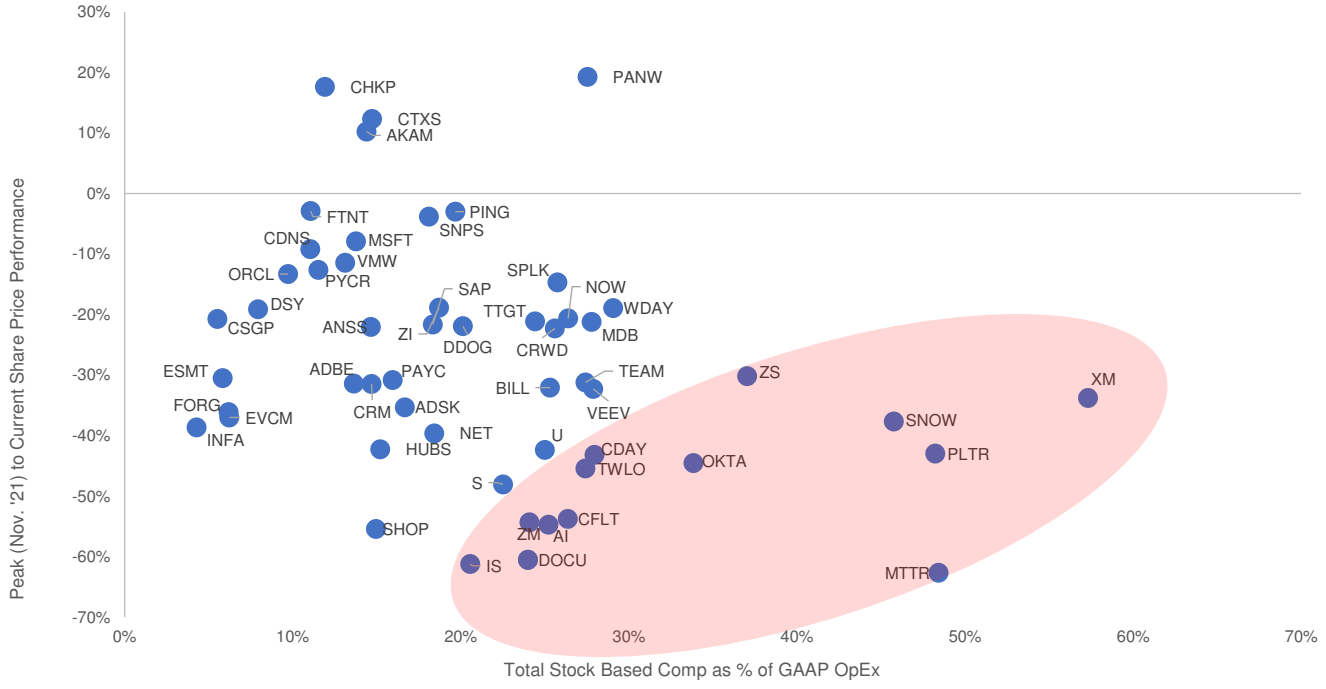
Figure 1: Share price performance vs. stock-based comp as a % of OpEx



Source : Bloomberg Finance LP and Company Reports

Another important factor to consider is the timing of new equity awards, with grants issued near peak valuations in 2020-2021 most likely to be 'under water' following the market correction. As a proxy for firms likely to have an outsized portion of these awards, we looked at the net adds in employee headcount over the past two years as a % of total employees; this methodology is based on the typical industry practice of issuing new employees equity grants that vest over a multiyear period. On this basis **BILL, DOCU, ESMT, NET, OKTA, SHOP, SNOW, TEAM, TWLO, ZM**, and **ZS** all have >40% of current headcount coming from net adds over the past two years AND have seen their stock prices decline by >30% from peak levels.

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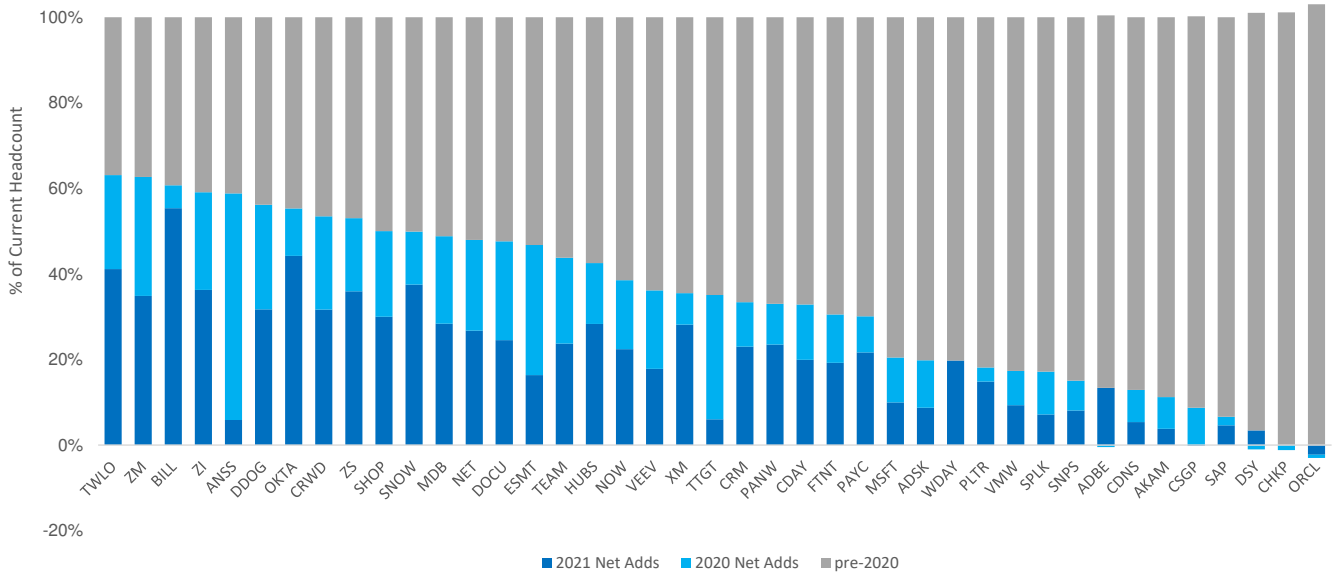
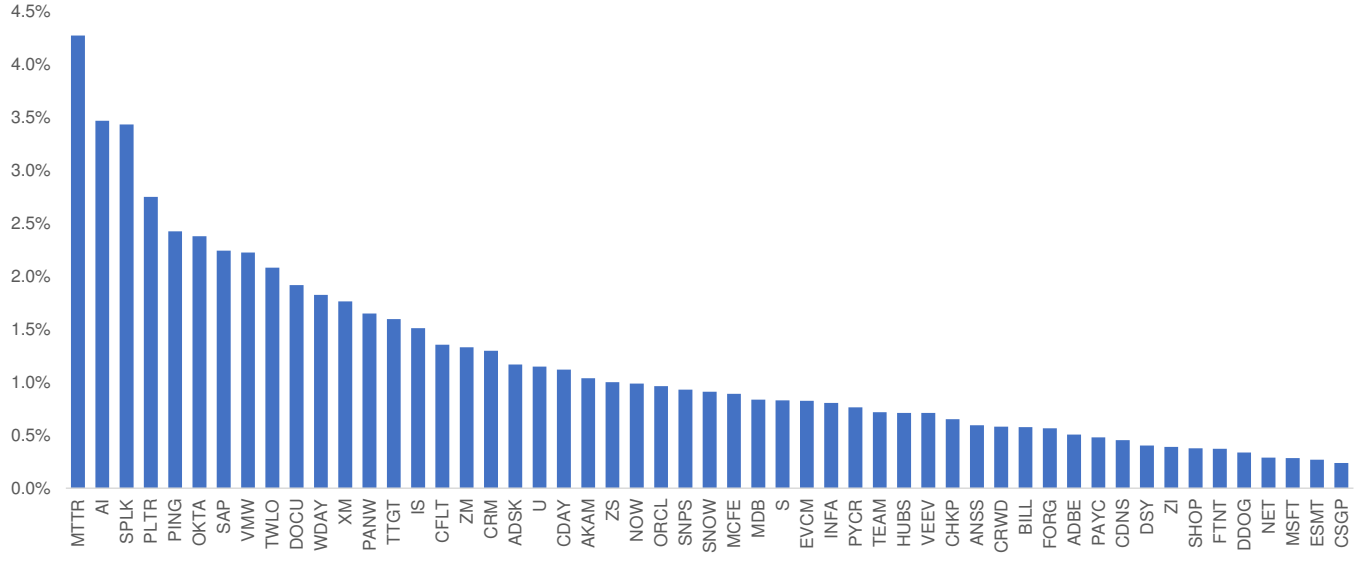
Figure 2: Employee headcount by year added



Source : Bloomberg Finance LP and Company Reports

Lastly, we also look at CY21 SBC as a % of current market capitalization as a measure of which companies could experience the greatest dilution from their use of equity compensation. On this basis **MTTR, AI, SPLK, PLTR, PING** and **OKTA** stand out as the biggest users of equity comp.

Figure 3: Stock-based comp (CY21) as a % of market cap



Source : Bloomberg Finance LP and Company Reports

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What's the risk to employee retention?

Specifically, the reduced value of employees' options and RSUs act as a de facto pay cut and reduce the cost of switching jobs (i.e., the value of unvested grants forfeited). Even if SBC is limited to more senior personnel, the departure of quality managers can inspire individual contributor turnover as well. This issue is not limited to public companies either, with choppy equity markets raising questions on the value and timeline to realize equity awards at privates.

Our conversations with industry constituents suggest this is a real issue; unlike prior downturns in 2000 and 2008, underlying fundamentals and demand remain strong (for now), supporting a healthy hiring environment amid a scarcity of talent. Further, in prior downturns we saw a customer migration back to 'safe' vendors (MSFT, IBM, ORCL, etc.) - which drove employees to those companies from start-ups. We think the situation is somewhat different this time with many faster growing small-to-midsize firms and start-ups seeing solid customer traction and growth prospects, despite depressed valuations. Against this backdrop, top performers likely have compelling options available in the current labor market and negotiating leverage at mid-year reviews and comp cycle discussions.

Below we offer highlights from our conversations with industry constituents on the topic.

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Figure 4: Conversations with industry constituents

Soundbites

From our conversations with industry contacts

"I believe this creates an unhealthy ripple effect within an organization… Companies think they're sunk investment is strong enough to retain talent, and times like now -- they're wrong"
– CRO of VC backed Series D Software Company

"Pick your GameStop, NFT loving, younger generation looking to arb an opportunity… they're applying that mentality to their career. Unlike 2008, if you're in tech, no one is going unemployed for long, so the risk of transition and perceived risk is so small… might as well play for gains. That's the mindset."
– CRO of VC backed Series D Software Company

"You better believe it's an issue. I have had multiple conversations with portfolio companies, managers, and individual contributors. I'm seeing it happen, talent is picking up the inbound call when they believe the value or time to realize [IPO] has significantly changed." **- Operating Partner at VC Fund**

"I don't think it's really part of the decision making process for most people. Individual contributors don't really have equity incentives"
- SVP of Sales, leading $25bn+ revenue software company

"Worst part is when you have strong mid-level leaders switch [from within mid-to-large companies], it results in further turnover. Mid-level managers leaving is often an indicator of how much disruption you're going to have." **-25+ year industry sales leader.**

"It's a double edged sword. We're seeing it open up conversations with candidates in a new way. If there's anything else they were not happy with, this has definitely opened the conversation. On the flip side, CFOs are hesitant to step into private valuations that haven't been reset yet." **– Industry Recruiter focused on pre-IPO finance roles**

"We haven't seen it trickle down yet. Hasn't been long enough. We're expecting to see it in Q3/Q4. I expect we'll see more of what Instacart just did [proactively cut valuation by nearly 40%]. This way they can keep people in seats."
– Pre-IPO industry recruiter, focused on all senior roles

"The companies with leadership that have lived through this before are in much better shape and will use this to their advantage. We've worked with Slootman before, Snowflake will be just fine."
– Industry Recruiter

"There's so much capital out there and people don't move if they don't see a wealth creation opportunity over 4-5+ years. So this changes the timeline a little, but it's not really impacting candidates' willingness to explore opportunities."
- Industry Recruiter

"The ones who are impacted the most are those of us who joined in the last ~6 months when the stock was high like myself. It hurts but hopefully it will all be fine in the long term." **– DocuSign Employee**

Source : DB

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How will companies address this issue?

In response to falling share prices and a dearth of talent, we see the potential for repricing current options, conversion of options to RSUs and/or supplemental equity grants to current employees to make up for the decreased value of outstanding equity awards. A greater number of shares granted or higher cash comp will also likely be required to attract new employees. Given the operational risk associated with employee turnover and potential headwinds to growth if companies are unable to hire new talent, we think such actions may prove to be the 'least bad' option in the current environment. Indeed, we have already seen several companies taking steps along these lines:

- *The Information (02/22)* reported that Zoom modified the value of RSUs granted to employees while DocuSign plans to increase its pool for equity and cash bonuses this year to help retain talent.
- *WSJ (02/27)* reported that Alphabet and Amazon have made changes to their compensation policies that allow for higher cash compensation levels.
- *CNBC (3/19)* reported that Robinhood, Snap, Roku and Uber have all issued additional equity and/or cash comp to employees following drops in their share price.
- *Bloomberg (03/25)* reported that Apple has granted RSU bonuses of up to $200k to retain engineers amid competition from other top tech firms.

What are the key conclusions?

For Software stocks broadly we'd highlight several key conclusions with the caveat again that company-specific factors need to be taken into account:

- **HCM becomes more important:** With the war for talent raging, human capital management becomes increasingly top of mind. Within our coverage we would highlight **WDAY, ORCL, PAYC** and **CDAY** as a potential winners.
- **Turnover creates operational risk:** Higher attrition rates create operational disruption that can linger given the productivity ramp of new hires. For this reason, companies may be more willing to increase comp levels to stem attrition, especially if they continue to see strong demand in front of them. We will be watching employee attrition rates closely within our coverage for any signs of elevated operational risk.
- **Valuations could be more expensive than they appear:** An increase in cash comp, repricing of options, and additional equity grants would all make equity valuations more expensive than they appear. Increasing cash comp would be a headwind to non-GAAP profitability, impacting non-GAAP earnings and FCF (the denominator in valuation multiples), each of which typically exclude SBC. Additionally, a repricing of options or additional equity grants would increase diluted shares outstanding (the numerator) above what's implied in current expectations. Within our coverage **AI, CDAY, CFLT, MTTR, OKTA, PLTR, SNOW, XM, ZM,** and **ZS** stand out as higher risk given outsized share price declines and % of SBC relative to their respective OpEx base.
- **Opportunities for some:** It's not all bad news, if employees are more willing to look at outside opportunities the potential talent pool to recruit from only widens and dislocation in equity valuations could help some to attract new talent. Companies whose fundamentals have remained strong but have seen their stock drop significantly could offer compelling opportunities for new employees granted equity at discounted levels, especially at the

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expense of privates that have largely yet to be marked down. On the other hand, those with strong growth prospects that have not seen their stock prices decline as sharply may be better positioned to attract and retain talent without the need for increased dilution to make up for declining equity values. **MSFT, VMW, ORCL** and **PYCR** have all seen relative stock outperformance support the value of their equity currency and rely less on SBC as a % of OpEx.

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Model updated: 23 March 2022

Running the numbers
North America
United States
Software

Adobe

Reuters: ADBE.OQ Bloomberg: ADBE US

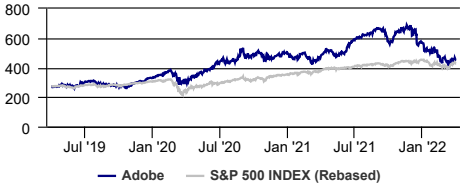
Buy

Price (1 Apr 22)	USD 458.2
Target Price	USD 575.0
52 Week range	USD 411.50 - 688.37
Market cap (m)	USDm 215,916 EURm 195,665

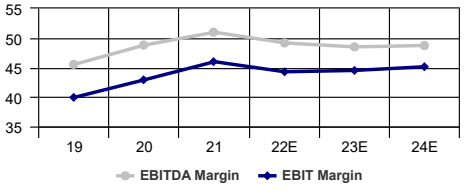
Company Profile

Adobe offers products and services used by creative professionals, communicators, businesses, and consumers for creating, managing, delivering, measuring, optimizing, engaging and transacting with content and experiences across computers, devices and media. The company was founded in 1982 and focuses investments in two strategic growth areas: Digital Media and Digital Experience.

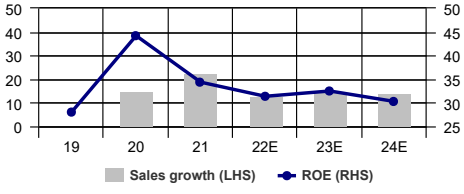
Price Performance



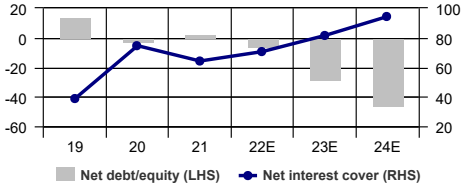
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 27-Nov	2019	2020	2021	2022E	2023E	2024E
Financial Summary						
DB EPS (USD)	7.87	10.10	12.48	13.43	15.64	18.22
Reported EPS (USD)	6.00	10.83	10.02	10.00	12.00	14.19
DPS (USD)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (USD)	21.65	27.59	30.99	32.63	41.31	52.66
Valuation Metrics						
Price/Sales (x)	11.8	15.0	16.6	12.1	10.5	9.2
P/E (DB) (x)	34.6	39.6	44.0	34.1	29.3	25.1
P/E (Reported) (x)	45.3	37.0	54.8	45.8	38.2	32.3
P/BV (x)	14.3	17.3	21.4	14.0	11.1	8.7
FCF yield (%)	3.1	2.8	2.6	3.5	4.0	4.6
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales	11.8	14.8	16.5	11.9	10.2	8.7
EV/EBITDA	26.0	30.4	32.4	24.2	20.9	17.8
EV/EBIT	29.7	34.5	35.9	26.9	22.8	19.2
Income Statement (USDm)						
Sales	11,171	12,868	15,785	17,870	20,526	23,432
EBITDA	5,086	6,279	8,047	8,786	9,954	11,417
EBIT	4,461	5,522	7,259	7,912	9,135	10,575
Pre-tax profit	3,205	4,176	5,705	5,851	6,964	8,202
Net income	2,951	5,260	4,822	4,734	5,641	6,644
Cash Flow (USDm)						
Cash flow from operations	4,422	5,727	7,223	7,889	9,062	10,298
Net Capex	-334	-419	-330	-419	-482	-550
Free cash flow	4,088	5,308	6,893	7,470	8,581	9,748
Equity raised/(bought back)	-2,957	-3,408	-4,289	-6,075	-4,000	-4,000
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	11	-31	58	0	0	0
Other investing/financing cash flows	-134	-41	-3,296	-199	0	0
Net cash flow	1,008	1,828	-634	1,196	4,581	5,748
Change in working capital	-392	-72	-768	-529	-354	-464
Balance Sheet (USDm)						
Cash and cash equivalents	2,650	4,478	3,844	5,040	9,621	15,369
Property, plant and equipment	1,293	1,517	1,673	1,657	1,602	1,547
Goodwill	10,691	10,742	12,721	12,795	12,795	12,795
Other assets	6,128	7,547	9,003	9,350	9,759	10,324
Total assets	20,762	24,284	27,241	28,842	33,776	40,035
Debt	4,138	4,117	4,123	4,125	4,125	4,125
Other liabilities	6,094	6,903	8,321	9,339	10,315	11,367
Total liabilities	10,232	11,020	12,444	13,464	14,440	15,492
Total shareholders' equity	10,530	13,264	14,797	15,378	19,336	24,542
Net debt	1,488	-361	279	-915	-5,496	-11,244
Key Company Metrics						
Sales growth (%)	nm	15.2	22.7	13.2	14.9	14.2
DB EPS growth (%)	na	28.4	23.6	7.6	16.5	16.5
Payout ratio (%)	0.0	0.0	0.0	0.0	0.0	0.0
EBITDA Margin (%)	45.5	48.8	51.0	49.2	48.5	48.7
EBIT Margin (%)	39.9	42.9	46.0	44.3	44.5	45.1
ROE (%)	28.0	44.2	34.4	31.4	32.5	30.3
Net debt/equity (%)	14.1	-2.7	1.9	-6.0	-28.4	-45.8
Net interest cover (x)	38.8	74.6	64.2	70.6	81.6	94.4
DuPont Analysis						
EBIT margin (%)	39.9	42.9	46.0	44.3	44.5	45.1
x Asset turnover (x)	0.5	0.6	0.6	0.6	0.7	0.6
x Financial cost ratio (x)	1.0	1.0	1.0	1.0	1.0	1.0
x Tax and other effects (x)	0.7	1.0	0.7	0.6	0.6	0.6
= ROA (post tax) (%)	14.2	23.4	18.7	16.9	18.0	18.0
x Financial leverage (x)	2.0	1.9	1.8	1.9	1.8	1.7
= ROE (%)	28.0	44.2	34.4	31.4	32.5	30.3
annual growth (%)	na	57.7	-22.3	-8.7	3.6	-6.8
x NTA/share (avg) (x)	21.4	24.5	29.2	31.9	36.9	46.9
= Reported EPS	6.00	10.83	10.02	10.00	12.00	14.19
annual growth (%)	na	80.4	-7.5	-0.2	20.0	18.3

Source: Company data, Deutsche Bank estimates

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Investment Thesis

Outlook

We expect Adobe to remain a leading enabler of digital experiences and see durable growth ahead despite its already-significant market share within its core Creative market. Whether measured by screen time, number of devices, ecommerce penetration, or the shift to digital advertising – we are more so than ever living in the experience economy where every interaction is personal, 'everyone has a story to tell' and increasingly 'every moment is shoppable'. The company's DX strategy has blossomed since acquiring Omniture in 2009 with the synergies between DM and DX more logical than ever. We are convinced by the enormity of Adobe's creative TAM (which has been ever-expanding beyond expectations), its many levers for durable growth, as well as the even greater opportunity in Digital Experience. We have no doubt this even larger, $85bn DX market is ripe for consolidation – especially in a post-pandemic, cookie-less world – with Adobe one of only two logical winners.

Valuation

Our DCF-derived target price is based on a WACC of 9.1%, a current risk-free rate of 2% and an equity risk premium of 4.9%. We use a terminal growth rate of 3.5% based on GDP growth.

Risks

Downside risks include: 1) underperformance from Digital Experience, 2) competition from disruptors across different forms of creative media, and 3) execution on integrating M&A.

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Appendix 1

Important Disclosures

*Other information available upon request

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Equity Rating Key

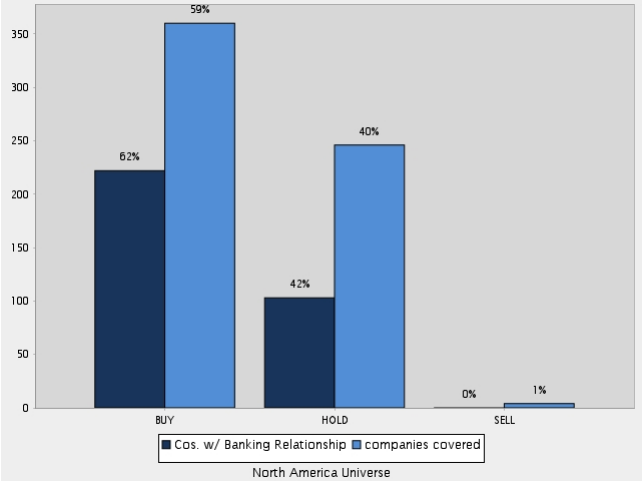
Buy: Based on a current 12- month view of total share-holder return (TSR = percentage change in share price from current price to projected target price plus pro-jected dividend yield) , we recommend that investors buy the stock.

Sell: Based on a current 12-month view of total share-holder return, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

Newly issued research recommendations and target prices supersede previously published research.

Equity rating dispersion and banking relationships



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